

[Table 28.11](#) shows special features for the Eve & Adam double bottom pattern.

Bottom to bottom variation. I computed the price variation from bottom low to bottom low and then measured the performance for those double bottoms with a price variation larger and smaller than the median. If the bottoms were uneven by more than the median, they tended to perform better. We've seen this result for other double bottoms types, too.

Lower bottom. Double bottoms with a left bottom below the price of the right bottom tended to perform better after the breakout. To me, this makes sense because a higher second bottom suggests more buying enthusiasm near the old low. People started buying the stock before it reached the price of the prior bottom, halting the decline.

Experience

Let me tell you about what I found in my trade review.

Alaska Air Group

This is one of those trades where I look at the chart and thank the stars I sold in time. It happened in March 2001 when the stock in Alaska Air Group (ALK) formed the Eve bottom. In late June, the Adam bottom was in place. The pattern confirmed in mid-July as a valid Eve & Adam double bottom.

Here's my notebook entry: "23 July 2001. I bought at 32.19, at market. The stock has completed a confirmed Eve & Adam double bottom coupled with an upside earnings surprise on 19 July. The stock has moved higher but may have overhead resistance at 32–33, where it is now trading. I expect it to push through this region, then post new highs."

The earnings announcement may be the reason I didn't buy when the double bottom confirmed or even why I didn't have a buy stop ready to get me into the trade.

- Lesson: Avoid buying shares within 3 weeks of an earnings announcement.